

Oracle Q1 2026 Earnings

Blind Sentiment & Directional Score: Earnings call Q&A only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Earnings call Q&A only** as the ONLY report content. The other sections (the reported financial results, forward guidance) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Oracle Corporation (ORCL)
Report	Fiscal Q1 2026 (August quarter)
Release date	Tuesday 9 September 2025, after close
Earnings call	5:00pm ET
Source	Earnings call transcript
Read mode	cold; earnings call Q&A extracts only, no reported results, no guidance, no price chart
Time to produce	44 minutes

Source material (read ONLY this)

Earnings call Q&A extracts (assigned source: Q&A only)

1. *"Someone called us, we'll take all the capacity you have that's currently not being used anywhere in the world"* (Larry Ellison, Chairman and CTO, on inferencing demand).
2. *"Can you talk about what else is driving these pretty amazing forecasts?"* (John DiFucci, Guggenheim Securities, to Safra Catz).

3. *“Is this maybe an extinction event... for companies that don’t have the database?”* (Brad Zelnick, Deutsche Bank, to Larry Ellison).
4. *“We’re literally putting it in right when we take possession, and then handing it over to generate revenue right away”* (Safra Catz, CEO, on capex timing).
5. *“If we’re twice as fast, we’re half the cost”* (Larry Ellison, on network performance advantage).
6. *“I think everyone says they want to use AI... CEOs... Heads of state, heads of government say they want to use AI”* (Larry Ellison, on demand signals).

Your scoring: fill in below, then seal

1 Sentiment score

Score: −0.25

Rationale. The answers are visionary rather than quantified: anecdotes about capacity calls and speed advantages, with the hard questions about what actually drives the forecasts left broad.

2 Directional signal

Signal: SELL

Rationale. Rhetoric outruns specifics, and capacity is described as already exhausted. SELL.

3 Structured summary

- **What the source shows.** Demand anecdotes are striking, if unquantified.
- **What the source cannot show.** No RPO, revenue or margin figures, so the Q&A alone cannot size the opportunity.
- **Expectations bar.** A market wanting numbers may read the qualitative answers as evasive.
- **Conviction.** Low-moderate conviction: the tone is bullish, the substance thin in this source.

4 Evidence quotes

1. *“Someone called us, we’ll take all the capacity you have that’s currently not being used anywhere in the world”* (Larry Ellison, Chairman and CTO, on inferencing demand).
2. *“Can you talk about what else is driving these pretty amazing forecasts?”* (John DiFucci, Guggenheim Securities, to Safra Catz).
3. *“Is this maybe an extinction event... for companies that don’t have the database?”* (Brad Zelnick, Deutsche Bank, to Larry Ellison).

— SEALED —

Overnight move and call verification

ORCL close, 9 September 2025 (release day)	\$241.51
ORCL open, 10 September 2025	\$319.19
Overnight move	+32.16%

Call verification

- HOLD band test: $|+32.16\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **SELL**, correct call **BUY**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+ 32.16%
D+1 close	+35.95%
D+3 close	+20.98%
D+5 close	+26.97%
D+10 close	+29.94%
D+20 close	+17.69%